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BOARD PRESENTATION

PROCUREMENT UNLOCKING VALUE, TO SUPPORT GROWTH

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UNLOCKING
RUMINANT POTENTIAL

Supply chain services

Enabling 2030 Growth

Procurement

Customer Care

Logistics & Warehousing

Target

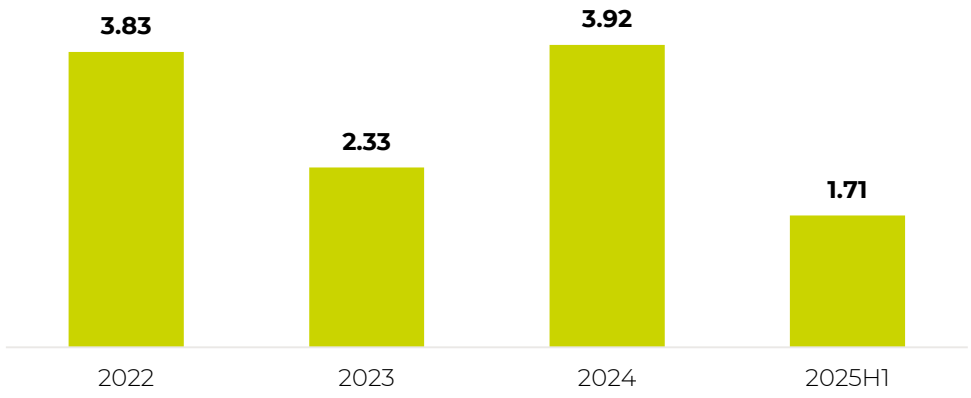
50%
Growth in Revenue & Margin **by 2030**

>15 %
EBITDA and **Strong Cash Conversion**

Spend profiling and categorisation

Annual Procurement Spend

Annual Procurement Spend, £m

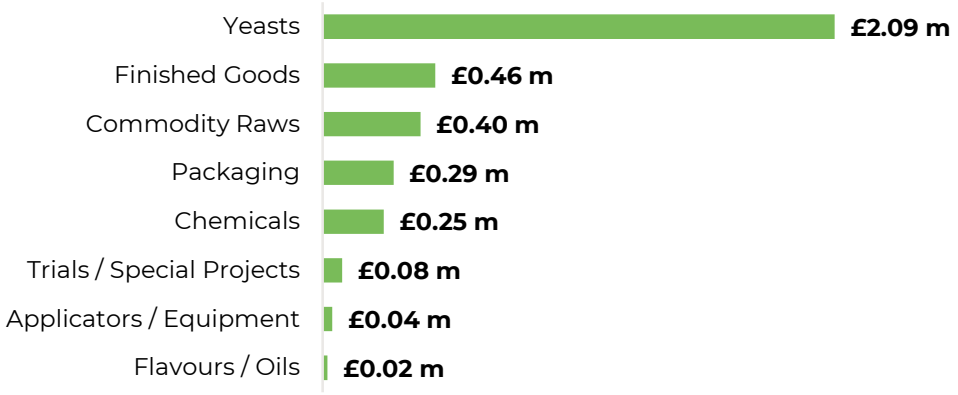


Spend broadly stable: £3.8m (2022), £2.3m (2023), £3.9m (2024).

2025 YTD £1.7m – not directly comparable as partial year.

Procurement spend typically **£3–4m per year**

Spend by functional category, 2024



Yeasts dominate spend = core risk & opportunity area.

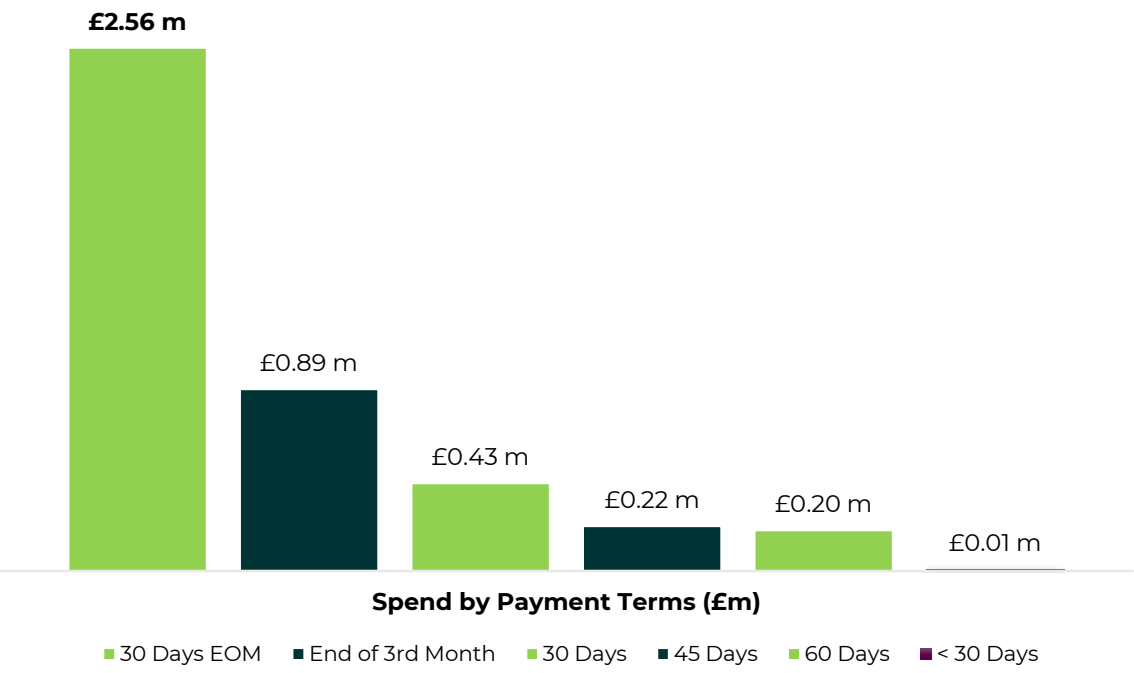
Finished goods & commodity raws = → need tighter stock policy & sourcing leverage.

Packaging & chemicals = simplification and supplier consolidation potential.

£3–4m annual spend: concentrated, high-impact, and ripe for optimisation

Spend profiling and categorisation

Spend by Payment Terms



- **Spend concentration:** Over **65% of supplier spend (£2.56m)** is on **30 Days EOM**, a major lever for working capital optimisation.
- **£213K** Working Capital saving available moving 30 days to 60 days EOM
- **£2.56m per year on 30 days EOM**. Extends terms by one month = £2.56m/12 = £213K

65% of spend stuck at 30 days EOM — £213k cash can be unlocked by moving to 60.

Spend profiling and categorisation

Spend by Supplier

The table shows the top 10 supplier by spend in 2024

Supplier	Spend (GBP)	Share (%)	Cumulative Share (%)
IMCD UK Limited	£1,180,944.50	30.09	30.09
Realistic Agri Ltd	£439,725.00	11.2	41.29
Brenntag UK Ltd (Swansea)	£300,068.62	7.65	48.94
FF Chemicals BV	£225,995.58	5.76	54.7
Phileo UK & Ireland Limited	£201,196.45	5.13	59.83
AB Mauri Italy S.p.A. Società Benefit.	£170,032.25	4.33	64.16
Kerry Food Ingredients (Cork) Ltd	£164,573.91	4.19	68.35
Longcliffe Quarries Ltd	£129,203.87	3.29	71.64
Direct Food Ingredients Limited	£122,388.00	3.12	74.76
Danstar Ferment A.G.	£117,043.46	2.98	77.74

Highly concentrated supply base:

~60% Top 5 = ~60% of spend;

~30% IMCD alone = ~30%

Spend profiling and categorisation

Spend by Parts

The table shows the top 10 parts and their respective share %

Part No	Part Description	Spend (GBP)	Share (%)	Cumulative Share (%)
300327	Yeast Extract without Salt (NuCel 751 MG)	£1,111,324.50	36.23	36.23
300968	L.Brevis (LBR VM 2E11) 15KG	£439,725.00	14.34	50.57
102392	UltraCell HT 10kg (GB/FR/ES/PL)	£170,032.25	5.55	56.12
102391	BioXylanase KGM	£164,573.91	5.37	61.49
300353	Dextrose Monohydrate kg	£126,935.00	4.14	65.63
300387	Longcal AG25 Limestone Bulk bags	£123,585.65	4.03	69.66
300341	FNI 150 Yeast Extract (IBC)	£117,043.46	3.82	73.48
301106	Vistacell 15KG	£112,500.00	3.67	77.15
301104	Actisaf HR+ 25kg	£103,350.00	3.37	80.52
300974	Yeast Cell Wall - SafWall 25kg	£74,200.00	2.42	82.94

01. The **top 2 parts cover ~51%** of total spend

02. The **top 5 parts** cover **~66%** of total spend

03. The **top 10 parts** cover **~83%** of total spend

Half of all spend sits in just 2 parts – focus here drives outsized results

Category strategies – focus areas for 2025–2030

Category Strategies

01. Yeast Products

02. Commodity Raw Materials

03. Packaging

04. Other Indirects

We will win through tailored category strategies — focus on Yeast first

Executive summary – yeast category strategy (2025-2030)

Strategic Importance:

- Accounts for ~£2.09m annual spend (≈50% + of raw material costs).
- Critical input into silage and feed additives.

The approach:

- Portfolio segmentation: Treat yeast as a Strategic item (high value / high risk) within the Kraljic matrix.
- Stock holding policy: Move from large infrequent buys (high cash tied up, shelf-life risk) → to smaller call-offs, supplier-held stock, and strategic reserves.
- Supplier strategy: Balance partnership with key suppliers (secure innovation, quality, continuity) with selective multi-sourcing to reduce dependency.
- Risk management: Build resilience to commodity volatility, plant outages, and geopolitical/regulatory disruptions.

Procurement value bridge

Supplier consolidation & long-term partnerships

- Move from 6 suppliers → 2–3 strategic partners.
- Secure better pricing, scale leverage.
- **Impact: £150k annual saving** (removing AB Mauri, rationalising Actisaf)

Commodity yeast consolidation

- Group commodity strains through one supplier.
- Impact: **£30k annual saving**

Alternative sourcing (IMCD trials)

- Moving to alternate supply of Nucel **751 - £400K saving**

Profit & Cash Composition

Payment term extension (30 → 60 days EOM)

- Payment term extension (30 → 60 days EOM)
- Shift £2m yeast spend from 30 to 60 days.
- **Working capital freed: ~£167k one-off cash benefit but ongoing benefit overall**

Working Capital Opportunity – Yeast Portfolio Core levers:

- £40–60k each freed for every 30-day stock reduction
- Together = ~£120k cash release potential
- Reducing stock by 30 days on our two core yeast lines (NuCel 751 & Peptone, ~£1.45m spend) = (30 ÷ 365 × £1.45m) **≈ £120k cash released**

£580K cost reductions and **£287K** cash release

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Thank You

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